BUSINESS ENVIRONMENT

PEST: what is happening around V&S

Outside-in view. External facts are from public sources (see page 3); cross-check against the luxury market reports in the data pack before quoting.

Factor	What is happening	So what for V&S
Political	Trade and tariff uncertainty; UK-US and UK-EU rules affect cross-border delivery and returns. Geopolitics is pressuring Middle East and tourist flows.	Orlando and the 58% non-UK web audience depend on smooth cross-border delivery. Logistics is already 17.5% of revenue.
Economic	Personal luxury growth forecast at about 2.5% in 2026 (down from 4-5%), after two years of contraction. A K-shaped consumer: wealthy buyers strong, aspirational buyers strained. Tourist spending soft in Europe.	Our own data shows the same split: value per sale fell in three stores while the number of sales rose. Customers visit, but spend less each time.
Social	Fatigue with "quiet luxury"; dupes and counterfeits seen as smart buys; clients expect one seamless relationship across store and online.	Delivery and contact pages draw 1.9x the views of womenswear: clients are looking for service, not just product.
Technological	Omnichannel and clienteling tools mature; AI offers cost efficiency but does not replace a strong core customer.	Two stock systems and a reactive order process (four pain points) and an IT leadership gap limit what technology can do today.

Message: the market is slowing, so V&S cannot rely on a rising tide. Winning share means making each visit worth more.

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Porter's five forces: where the pressure comes from

Rating is our judgement (High, Medium, Low) and should be tested with Jesse and Anshu.

Force	Pressure	Evidence	Implication
Rivalry between competitors	High	Other luxury department stores, brand boutiques and online players compete for the same client; slow market intensifies it.	Differentiate on experience, not price.
Threat of new entrants	Medium	Online and direct-to-client brands enter cheaply; flagship stores and heritage are hard to copy.	Heritage is an asset; use it online.
Bargaining power of suppliers (brands)	High	Leading brands control allocation, pricing and increasingly sell direct.	Buying relationships and stock reliability matter (stock-order process).
Bargaining power of clients	Medium to high	Clients compare across channels and countries; dupes and resale give options.	Service and personal relationship raise switching cost.
Threat of substitutes	Medium	Resale, rental, gold and experiences compete for the same wallet.	Offer reasons to visit that are not only products.

Critical success factors

Factor	How V&S looks today
Client experience that feels the same in every channel	Journey shows friction at delivery and contact steps
Reliable stock where clients want it	Reactive replenishment; two systems
Value per visit	Down 8.1% overall in FY-1
Cost to serve	Logistics 17.5% of revenue; Edinburgh 20.6%
Capable colleagues and tools	IT leadership gap; colleague journey

BUSINESS ENVIRONMENT

Through the three BXT lenses

Diversity of thought: the same facts read three ways.

Lens	What we see	Implication
Business	Value per sale is the lever. About 2 points of cost closes the margin gap; a 10% margin is worth about GBP 25m more EBIT.	Rising tide is gone; we must earn share.
eXperience	Clients look for help and delivery information; colleagues use two systems and chase stock.	One experience for clients and colleagues alike.
Technology	Shared client and stock view across channels; fix online friction; clear IT ownership.	Technology serves the experience, not the reverse.

Sources

- Morgan Stanley, Luxury Outlook: From Contraction to Caution (8 May 2026), *morganstanley.com/insights*
- Altagamma-Bain, Luxury Goods Worldwide Market Monitor update (June 2026)
- V&S data pack: sales, P&L FY-1, website data, stock-order process, luxury market reports

Not yet verified: figures from the luxury market reports inside the data pack, which should replace or confirm the external numbers above.